banks managed to make their presence felt, they also started providing the investible funds. But the most attractive investible fund i.e. fund made available by the stock market, was not playing any supportive role, as this was not organised. With the help of the conscious efforts made by the successive governments since 1992, Indian stock market has been able to make its presence felt around the world.

The Indian stock market is one of the fastest growing stock market in Asia. Its representative share index has crossed 20,000 mark (Sensex). The booming stock market is helping the economy in many ways:

(i) India is becoming less dependent on institutional project financing for investible funds.

(ii) Stock market is not only able to manage investible funds, but is increasing our forex receipts also. The government is trying to make it more lucrative by further liberalisation in the Portfolio Investment Scheme (PIS).

(iii) People's participation in growth and development is increasing day by day.

(iv) Stock market has emerged as the new route to manage investible funds.

This is how stock market has emerged as the most attractive route to manage investible funds and sustained growth rate. Naturally it has emerged as the 'new *mantra*' of growth and development.

Q. 13 Write a note on the logic behind increasing government emphasis on the social sector.

Ans. India's expenditure on the social sector has been rather poor (at 1.5 per cent of GDP) upto 1991, in comparison to the South East Asian economies (15 per cent of GDP since mid-1960s). This was basically responsible for the wretched state of education, healthcare, nutrition, drinking water, etc. Once India started economic reforms, the attitude towards its social sector expenditure went for a re-orientation.

As government's role in economy started shrinking and the nature of planning started shifting more in favour of the 'indicative' kind—emergence of the market economy—the people having lower purchasing